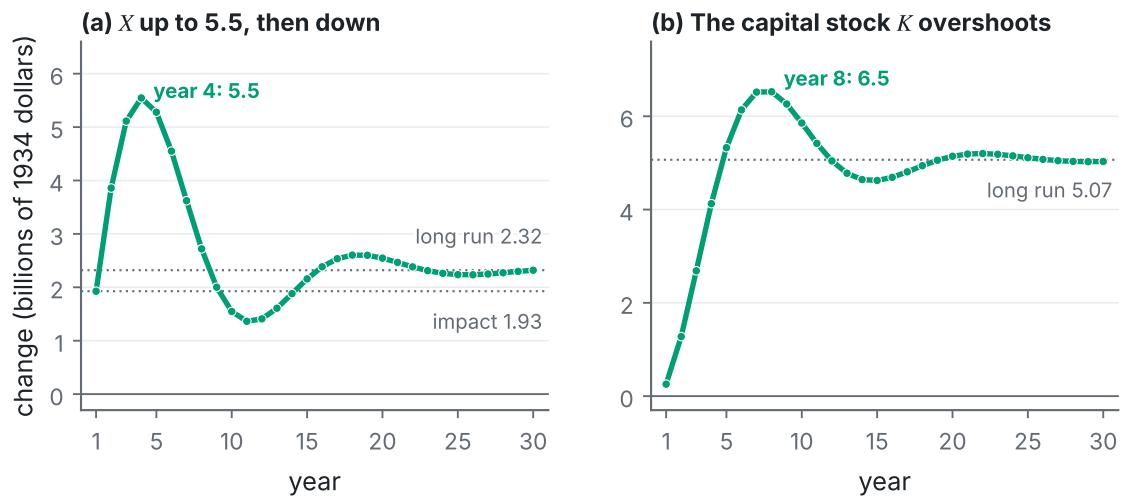
(a) X up to 5.5, then down
change (billions of 1934 dollars)
year 4: 5.5
long run 2.32
impact 1.93
year
(b) The capital stock K overshoots
year 8: 6.5
long run 5.07
year